

|                    |      |      |     |         |     |     |      |
|--------------------|------|------|-----|---------|-----|-----|------|
| Inter. Paper       | 22.5 | 14.0 | 4.6 | 26.1    | 2.2 | 62  | 139  |
| Johns-Manville     | 19.3 | 16.8 | 3.0 | 43.8    | 2.6 | —   | 158  |
| Owens-Illinois     | 13.2 | 14.0 | 2.6 | 64.7    | 1.6 | 51  | 118  |
| Procter & Gamble   | 24.2 | 31.6 | 2.1 | 128.4   | 2.4 | 400 | 460  |
| Sears Roebuck      | 21.4 | 23.8 | 1.7 | 145.3   | 1.6 | 322 | 285  |
| Std. Oil of Calif. | 9.7  | 10.5 | 5.0 | 68.8    | 1.5 | 79  | 102  |
| Std. Oil of N.J.   | 11.0 | 12.2 | 5.4 | 102.8   | 1.5 | 94  | 115  |
| Swift & Co.        | 16.4 | 25.5 | 1.7 | 24.8    | 2.4 | 138 | 158  |
| Texaco             | 9.9  | 10.8 | 5.0 | 120.9   | 1.7 | 128 | 138  |
| Union Carbide      | 16.6 | 15.8 | 4.6 | 9.5     | 2.2 | 86  | 146  |
| United Aircraft    | 9.7  | 7.0  | 5.9 | 55.9    | 1.5 | 155 | 65   |
| U. S. Steel        | 8.3  | 6.7  | 5.4 | (-21.3) | 1.7 | 51  | 63   |
| Westinghouse-El.   | 29.5 | 28.0 | 1.9 | 52.2    | 1.8 | 145 | 2.86 |
| Woolworth          | 19.7 | 20.5 | 2.4 | 76.3    | 1.8 | 185 | 1.90 |

<sup>a</sup> Figures taken for fiscal 1970 year-end co. results.

<sup>b</sup> Figures taken from *Moody's Industrial Manual* (1971).

<sup>c</sup> Debit balance for NCA. (NCA = net current assets.)

<sup>d</sup> Reported deficit for 1958-1960.

If, however, we wish to apply the same seven criteria to each individual company, we would find that only five of them would meet *all* our requirements. These would be: American Can, American Tel. & Tel., Anaconda, Swift, and Woolworth. The totals for these five appear in Table 14-3. Naturally they make a much better statistical showing than the DJIA as a whole, except in the past growth rate.<sup>3</sup>

Our application of specific criteria to this select group of industrial stocks indicates that the number meeting every one of our tests will be a relatively small percentage of *all* listed industrial issues. We hazard the guess that about 100 issues of this sort could have been found in the Standard & Poor's *Stock Guide* at the end of 1970, just about enough to provide the investor with a satisfactory range of personal choice.<sup>\*</sup>

## The Public-Utility "Solution"

If we turn now to the field of public-utility stocks we find a much more comfortable and inviting situation for the investor.<sup>†</sup> Here the vast majority of issues appear to be cut out, by their performance record and their price ratios, in accordance with the defensive investor's needs as we judge them. We exclude one criterion from our tests of public-utility stocks—namely, the ratio of current assets to current liabilities. The working-capital factor takes care of itself in this industry as part of the continuous financing of its growth by sales of bonds and shares. We do require an adequate proportion of stock capital to debt.<sup>4</sup>